



## **Performance Improvement Plan (PIP) Policy - 2025**



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## 1.0 Objective

1.1 The aim of this policy is to address and manage employee underperformance. 'Underperformance' is defined as a workplace situation when an employee does not objectively meet certain predetermined requirements in terms of their job, quality of output, productivity, behavior and other workplace related aspects (**Performance**). The Performance Improvement Plan (**PIP**) aims to facilitate formal discussion(s) between the concerned employee and their reporting manager (**RM**) and business HR manager (**HRM**) to better define the expectations for improvement in Performance. It is initiated when written/verbal feedback to the employee has not led to the expected improvement in their performance.

## 2.0 Eligibility

2.1 This policy is applicable for all regular, full-time and part-time employees working in India at Coforge Limited and its subsidiaries.

## 3.0 Process Workflow

- 3.1 Identification of areas of unsatisfactory Performance.
- 3.2 Action plan to improve the Performance with support and guidance.
- 3.3 Clear, role-relevant, and measurable Performance expectations.
- 3.4 Timeframes for improvement of Performance.
- 3.5 Periodic reporting on Performance and discussions with the RM and/or HRM.
- 3.6 Potential outcomes if Performance does not improve satisfactorily.

## 4.0 Applicability

- 4.1 PIP can be initiated for employees coming out of the annual 'ACE' process and rated as either 'B' or 'C'.
- 4.2 Any time during the year, if an employee is repeatedly not able to meet Performance standards, despite documented feedback and coaching.

## 5.0 Refusal/Non-Acceptance of Participation in PIP

- 5.1 An employee will be considered to be in violation of company policy, and their acts will be construed as misconduct if:
  - i. The employee refuses to participate in the PIP, or
  - ii. The employee refuses to adhere to the terms of the PIP such as submitting reports, participating in meetings, or adhering to the agreed upon timelines, or
  - iii. The employee is unwilling to accept the outcome of the PIP.
- 5.2 In case of any of the above, Coforge reserves the right to terminate such an employee on the grounds of misconduct.

**6.0 Categorisation of PIP And Related Actions**

| ACTIVITIES                         | PIP INITIATION AND TIMELINE                                                                                                                                                                                                                                                                                                                                                                    | OWNER         | RESPONSIBILITIES/PROCEDURE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>PIP INITIATION</b>              |                                                                                                                                                                                                                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| PIP Initiation                     | <ul style="list-style-type: none"> <li>- PIP to be initiated if an employee has not performed as required for a continuous period of one month, despite documented feedback and coaching.</li> <li>- Performance feedback must be provided in written by the RM to the employee.</li> <li>- RM must inform HR and post review by HR, PIP will be initiated for a period of 60 days.</li> </ul> | RM+HRM        | <p>RM/HRM must share PIP timelines/expectations/PIP procedure with the employee.</p> <p>Steps and targets to be shared with the employee by the RM.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>MID &amp; FINAL REVIEW</b>      |                                                                                                                                                                                                                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Performance (Mid and Final Review) | Every 15 days (up to 60 days).                                                                                                                                                                                                                                                                                                                                                                 | RM+HRM        | <p>RM must ensure detailed feedback, provide support and guidance, and HRM must ensure fairness in documentation of the feedback by the employee and the RM. In case the unsatisfactory Performance/non-improvement is established post one month from the initiation of PIP (Mid Review), then it will be closed as 'unsuccessful' right at the mid-review.</p> <p>In this case, Coforge may decide to terminate the services of the employee by providing notice pay as per the applicable notice period policy and the employment terms.</p> <p>If improvement is noticed in the first two fortnightly reviews by the RM, then the PIP will continue to run till the completion of 60 days. The decision of the PIP being successful/unsuccessful must be taken at the final review i.e., post the completion of 60 days.</p> |
| <b>CLOSURE</b>                     |                                                                                                                                                                                                                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Closure meeting with employee.     | 60 days after initiation.                                                                                                                                                                                                                                                                                                                                                                      | HRM<br>RM+HRM | <p>Ensure Process compliance</p> <p>Clear communication of the feedback to the employee.</p> <p>If targets are met and performance improvement is visible, then the PIP will be closed as 'successful', and employment tenure will be continued.</p> <p>However, if the set targets are not met and no improvement is seen in employee's performance, as determined by the RM &amp;</p>                                                                                                                                                                                                                                                                                                                                                                                                                                          |

| ACTIVITIES | PIP INITIATION AND TIMELINE | OWNER | RESPONSIBILITIES/PROCEDURE                                                                                                                                                                                                |
|------------|-----------------------------|-------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|            |                             |       | HRM, then it will be closed as 'Unsuccessful PIP'. In this case, the organization may terminate the services of the employee by providing notice pay as per the applicable notice period policy and the employment terms. |

## 7.0 Ensuring Fairness

7.1 Ensure Process compliance and set clear expectations on targets.

7.2 RM to ensure proper feedback, support, and guidance.

7.3 HRM to ensure fairness in the feedback shared with the employee.

7.4 RM and HRM to document the goals, timelines, review mechanism, and communicate appropriately to the employee.

## 8.0 Exception Handling

8.1 Any exception to the policy will require approval by the CPO.

## 9.0 PIP Template

Project Name

Employee Code

| Area(s) of Improvement | Activities List | Targeted Date of Improvement | Expected Result | Actual Result | Date Reviewed |
|------------------------|-----------------|------------------------------|-----------------|---------------|---------------|
| Area 1                 |                 |                              |                 |               |               |
| Area 2                 |                 |                              |                 |               |               |

Prepared By-

Date: \_\_

(Supervisor)

(Employee)

cc-Practice Head and HR Head

**10.0 PIP Template and Letter Draft**

DATE:

Name

E Code OU

Location

Dear <Name>,

Sub: Performance Improvement Plan.

This is in reference to your discussions with XXXXXXXX regarding the need for improvement in your performance. Please be informed that your Performance Improvement Plan (PIP) is being initiated from ..... You will be on a guided path of PIP for sixty days under the mentorship of . The PIP will conclude on or before ..... .

In case your performance does not improve to the expected level during the PIP, your services may be terminated with immediate effect, at the sole discretion of the Company, upon the completion of the PIP period.

Further, during the PIP, your progress will be monitored regularly, and you are expected to meet the criterion mentioned in your Action Plan Sheet. You are expected to ensure regular attendance, adherence to all Company policies, and focus attention to your work performance during this period.

With best wishes,

<Authorized signatory>

For [entity name] ("Company")

Version Change History

| S. NO | VERSION NO. | PREPARED BY    | REVIEWED BY         | REVISION DATE    | APPROVED BY   | RELEASE DATE | REASONS FOR RELEASE                                                                         |
|-------|-------------|----------------|---------------------|------------------|---------------|--------------|---------------------------------------------------------------------------------------------|
| 1     | 1.1         | Diva Sharma    | Navneet Prasad      | Baseline Version | Ruchi Kulhari | 22-Dec-2023  | Policy is Being made public to the employees of the organization for ensuring transparency. |
| 2     | 2.0         | Arijit Deb Roy | Vibhanshu Agnihotri | 20-Jan-2025      | Pankaj Khanna | 01-Feb-2025  | Annual Review                                                                               |



## About Coforge

Coforge is a global digital services and solutions provider, that leverages emerging technologies and deep domain expertise to deliver real-world business impact for its clients.

A focus on select industries, a deep domain understanding of the underlying processes of those industries and partnerships with leading technology platforms, enables Coforge to be a trusted partner of its clients in their transformation initiatives. Coforge leads with its Product Engineering approach and leverages AI, Cloud, Data, Integration and Automation technologies to transform businesses into intelligent, high growth enterprises. Coforge has 30 global delivery centers and is present in 23 countries.

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